

EXECUTIVE SUMMARY

Decoding Customer Value: A SQL-Driven Retention Strategy

This project developed a **data-driven retention strategy** for a D2C fashion brand to determine whether its growth was fuelled by **genuine customer loyalty or continuous promotional activity**. Using **Python, SQL, and Power BI**, customer-level behavioural intelligence was built from raw transactional data covering approximately **3,900 customers**. Since the dataset contained no predefined loyalty score or churn label, custom metrics were engineered to identify valuable customer segments, measure promotional reliance, and uncover patterns linked to long-term profitability.

Key Findings:

- Average customer spend was **\$59.76**, with significant variation across segments.
- The average **promotional dependency score was 0.43**, indicating notable reliance on discounts.
- Only **28.64% of customers were classified as high-margin**, suggesting that a small segment contributes disproportionately to profitability.
- **16.26% of customers were identified as high-risk**, requiring targeted retention efforts.
- Geographic analysis revealed regions with **strong organic demand and low discount sensitivity**, highlighting opportunities for efficient growth.
- Product category analysis distinguished **entry-point categories** from those associated with stronger repeat purchase behaviour.
- The most valuable segment, termed "**Organic Loyalists**," demonstrated:
 - Average spend of **~\$89 per purchase**
 - **31 previous purchases on average**
 - High satisfaction levels and minimal promotional dependence

Strategic Recommendations

- Implement a **promotional sunset strategy**, gradually reducing discounts for customers who already exhibit strong loyalty.
- Prioritize retention investments toward high-value customers through personalized engagement and exclusive experiences.
- Use the profile of **Organic Loyalists** to guide future acquisition campaigns and attract similar customers.
- Monitor success using metrics beyond revenue, including **promo dependency, retention indicators, and customer risk scores**.
- Allocate marketing resources toward high-potential regions and product categories that demonstrate stronger organic demand.

Conclusion:

The analysis indicates that while the brand has cultivated a valuable base of organically loyal customers, broad discounting continues to suppress margins and obscure true customer value. By shifting from promotion-led tactics to **segment-specific retention strategies**, the business can strengthen customer relationships, improve profitability, and achieve more sustainable long-term growth.